LTV:CAC Analysis Report

Introduction

This report analyzes the key financial performance indicators of an early-stage startup. The analysis focuses on Customer Acquisition Cost (CAC), Customer Lifetime Value (LTV), and the LTV:CAC ratio to understand customer value and acquisition efficiency.

Abstract

This analysis evaluates the startup's monthly financial performance using Revenue, Expenses, Customers, CAC, LTV, Profit, and LTV:CAC Ratio. The results help understand customer acquisition efficiency, profitability, and overall business growth.

LTV:CAC Analysis

Customer Lifetime Value (LTV) represents the estimated revenue generated by a customer during their relationship with the startup. Customer Acquisition Cost (CAC) represents the average marketing cost required to acquire one new customer. The LTV:CAC ratio is calculated as:

LTV:CAC Ratio = LTV ÷ CAC

In the dataset, the average LTV:CAC ratio is **20.30**, based on the monthly values. This indicates that the calculated customer lifetime value is substantially higher than the calculated acquisition cost in the demo dataset.

Key Financial KPIs

KPI	Value
Total Revenue	₹15,19,000
Total Expenses	₹9,89,000
Total Profit	₹5,30,000
Profit Margin	34.89%
Average LTV:CAC Ratio	20.30

Conclusion

The financial KPI analysis provides an overview of the startup's financial performance and customer economics. The analysis shows total revenue of ₹15,19,000, total profit of ₹5,30,000, and an average LTV:CAC ratio of 20.30. The Tableau dashboard provides a visual view of revenue, expenses, profit, and customer growth trends.